You should also note what expenses are included before making a final decision. A property might have lower rent, but if it doesn't have utilities, cable, or any other amenities included in the price, it could be more expensive in the long run.

READER TIP:

My husband and I owned a home before making an out-of-state move for his job a while back. We chose a two-bedroom apartment that was news construction and in a very nice area. After a couple years, we decided to move to a cheaper townhouse that didn't have all the amenities (pool, fitness center, etc.) and was not big by any means (1,000 sq. ft.), but was still in an area we were very comfortable and safe in for a short-term transition. This saved us an additional $200 per month on rent for the next three years while we saved and waited for the right time to buy our house.

—Cherie, VA

7. CONSIDER RENTER'S INSURANCE

I know we're discussing how to reduce expenses, but I couldn't finish out this chapter without at least mentioning renter's insurance. Yes, it's an added cost, but if catastrophic damage from a possible flood, fire, tornado, or theft actually happened, you would need to replace all your belongings, which can add up rather quickly depending on how much you have and how expensive it is. In fact, some complexes even require renter's insurance before they let you live there!

A typical policy starts as low as $12/month, and some will even cover hotel stays, temporary rentals, and meals if you are displaced from your home. You'll most likely have to pay a deductible if you do ever file a claim, but the cost of that will solely depend on your premium.

Then again, you can always risk it and assume that nothing bad would ever happen, but that, of course, is completely up to you. I've already been through one flood, so I don't consider anything to be off limits!